

Instructions:

1. This problem set is NOT a group assignment. Submissions must be sent electronically via email to the instructor's email address and copy the email address of TA's listed on our syllabus, before the specified due date and time. Late submissions will not be accepted.
2. Your writing must be in English. Your way of making arguments and deriving the right intuition is as important as your final answer. Your responses should be clearly, logically, and thoroughly presented.
3. You are welcome to cite additional data or information from other papers and book chapters to strengthen your arguments with the rightly formatted reference attached. However, it is strict that you should NOT directly copy model details or texts available from the internet and other sources.

Homework 2

Asset Management Regulation. In 2018, major regulating agencies in China including the People's Bank of China and the regulatory commissions in banking and securities jointly issued the ground-breaking document "Guiding Opinions on Regulating the Asset Management Business of Financial Institutions". [In Chinese, 中国人民银行、

中国银行保险监督管理委员会、中国证券监督管理委员会、国家外汇管理局关于规范金融机构资产管理业务的指导意见（银发[2018]106 号）]

Requirement:

- a. Based on your reading from various sources, describe the details of the regulation and what is the main purpose of such regulation. (1/2 Page Limit)
- b. Describe in what way commercial banks are involved in the implementation of this regulation. (1/2 Page Limit)
- c. Describe in what way non-banking institutes are involved in the implementation of this regulation. (1/2 Page Limit)

Deadline: January 3, 23:59 (Beijing time)